MODULE: 01

Day-01: Introduction

1) **What "Venture Capital" is? (Source)**

- **Definition of Venture Capital:** It is a form of private equity financing provided by firm-backed funds or investors to early-stage, high-growth, and high-risk startups with substantial long-term potential. VCs supply capital in exchange for equity (ownership shares) and actively support companies with strategic guidance, recruitment, and networking.

  How it differs from other funding (angels, PE, debt), and the funding stages?

- **Comparison with Other Funding Sources(Source)**
    - Angel Investors: High-net-worth individuals who invest their personal wealth into very early-stage startups (often pre-seed or seed). They invest smaller check sizes than VC funds, make decisions individually, and carry higher personal risk.
    - Private Equity (PE): Private equity firms invest in mature, established, and often profitable companies. PE firms frequently buy controlling stakes (majority equity or buyouts), restructure operations, and rely heavily on leverage (debt), whereas VCs take minority stakes in high-growth companies.
    - Venture Debt / Traditional Debt: Debt involves borrowing money that must be repaid with interest according to a fixed schedule, regardless of company performance. Banks require collateral and cash flows, which startups lack. Venture debt is specialized debt offered to VC-backed startups to extend runway without diluting equity heavily.
- **Funding Stages Breakdown (Source)**
    - **Pre-Seed & Seed**: Ideation to early Minimum Viable Product (MVP). Capital is used for product development, initial user validation, and market research. Check sizes: $100k – $2M.
    - **Series-A**: Product-Market Fit (PMF) is established with early revenue traction. Funds are used to optimize business models, scale acquisition channels, and hire core leadership. Check sizes: $2M – $15M.
    - **Series B & Growth (Series C+):** Scaling phase. Startups expand geographic reach, launch new product lines, or pursue strategic M&A. VCs focus on repeatable economics, unit economics, and market leadership. Check sizes: $15M – $100M+.

- **First check (initial investment):** The fund's entry into the company, usually at seed or Series A. It is sized to buy a meaningful stake, often 8–15% at seed. It is a bet on the founders and the market.

- **Second check (follow-on / pro rata):** Put into the *same* company in the next round, to keep ownership from being diluted. It is made once the company has shown real progress, for example revenue, retention, or PMF. The risk is lower than the first check, but the price is higher.

- **Third check and later:** Backing the winners again in later rounds. Ownership gains are small, and these checks are usually the largest.

2. Key Industry Terms LP, GP,GP Sponsorship, Carry, Dilution, Exit

- **Key Industry Terminology: (Source)**
    - **LP (Limited Partner):** Institutional or high-net-worth investors (pension funds, endowments, sovereign wealth funds, family offices) who commit capital to a VC fund. They are passive investors with limited liability.
    - **GP (General Partner):** The fund managers who source deals, make investment decisions, manage portfolio companies, and sit on boards. They carry legal liability and owe fiduciary duties to LPs.
    - **GP Sponsorship:** It means that an established institution or investor backs a new fund manager or a program by taking on some of the General Partner (GP) role's burden, usually providing capital, credibility, infrastructure, or all three.
    - **Carried Interest (Carry):** The share of fund profits (typically 20%) that GPs receive as performance compensation after returning the principal capital to LPs.
    - **Dilution:** The reduction in an existing shareholder's ownership percentage caused by the issuance of new shares during subsequent financing rounds or stock option allocations.
    - **Exit:** The liquidity event where investors and founders convert their equity stakes into cash or publicly tradable stock, primarily via an Initial Public Offering (IPO), Acquisition (M&A), or Secondary Sale.
- **Power Law (Source)**

  The Power Law in Venture Capital:
    - Unlike traditional asset classes where returns follow a normal distribution (bell curve), venture returns follow a skewed Power Law distribution (80/20 rule or extreme Pareto principle).
    - In a portfolio of 20–30 startups, 50–60% of investments may fail or return less than invested capital, 20–30% may generate modest 1x–3x returns, and 1 or 2 outlier investments ("fund returners") will generate 100x+ returns, driving virtually all of the fund's total profit.

3. Origins of VC and the LP/GP model, plus a short teaser on VC as a career

- **Origins & Evolution:** Modern venture capital originated in post-WWII America, marked by the creation of American Research and Development Corporation (ARDC) in 1946 and the establishment of Silicon Valley firms (such as Draper, Gaither & Anderson, and Fairchild Semiconductor investments) in the late 1950s and 1960s. The sector transformed from informal family trust funding into an institutionalized asset class.
- **The LP/GP Structural Dynamics:** Funds are established as Limited Partnerships, usually running on a 10-year lifecycle. LPs commit capital called down over time by GPs during a 3-to-5-year investment period, followed by a 5-to-7-year harvest/exit period.
- **Preview of VC as a Career:** Introduction to the dynamic nature of working in VC balancing qualitative assessment of founder talent with quantitative financial modelling, industry market research, and strategic portfolio assistance.

📝 Day 1 Assignment: Mapping the VC Landscape

- Objective: Learners simulate real-world analyst responsibilities by matching startups to funding sources, tracking ownership across funding rounds, and testing the power-law idea on a sample VC portfolio.
- Deliverables:
    1. Match four startup scenarios to the right funding source (angel, VC, PE, or venture debt) and funding stage, with a short justification for each.
    2. Build an ownership and dilution table across Seed, Series A, and Series B, and compare the seed fund's returns with and without a follow-on (second check) at Series A.
    3. Compute the gross multiple of a 20-company sample portfolio, show how much of the return comes from the single outlier, and calculate GP carry and LP proceeds on a $100M fund.
    4. Write a short note (about 300 words) explaining how GP sponsorship works for a first-time fund manager, and how VC moved from informal family money to an institutional asset class (ARDC, 1946)

Day-02: Inside a VC Firm

1) Roles from Analyst to Partner, including operating and platform roles (Source)

- **Analyst / Senior Analyst:** Focuses on deal sourcing, initial screening, market research, industry mapping, and basic financial modelling. Typically, a 2-year entry-level or post-undergrad/post-consulting role.
- **Associate / Senior Associate:** Conducts deep due diligence, builds financial and valuation models, drafts investment memos, coordinates legal work, and assists portfolio companies.
- **Principal / Vice President (VP):** Sits on investment committees, leads deal execution, negotiates term sheets, originates proprietary deal flow, and serves as board observers.
- **Partner / Managing Director / GP:** Writes investment checks, holds ultimate decision-making authority, sits on company boards, raises capital from LPs, and owns fund governance.
- **Platform & Operating Roles:** Non-investment professionals dedicated to supporting portfolio founders. Includes Talent/Recruiting Lead, Marketing/PR Leads, Business Development Managers, and CTO-in-Residence.

2. Deal flow (sourcing → pipeline → diligence → IC → portfolio → exit) and how teams collaborate (Source)

- **Step-by-Step Deal Execution Cycle:**
    1. **Sourcing:** Finding potential investment opportunities through inbound networks, outbound outreach, university incubators, demographic trends, and AI discovery tools.
    2. **Pipeline Management:** Ingesting and prioritizing pitch decks in a CRM (e.g., Airtable, Affinity) to track progress across funnel stages.
    3. **Due Diligence:** Comprehensive evaluation across team capability, market sizing (TAM/SAM/SOM), product defensibility, customer references, legal health, and financial audits.
    4. **Investment Committee (IC):** Presenting an investment memo to the partners. Strategic debate takes place before taking a vote on whether to issue a Term Sheet.
    5. **Portfolio Management:** Active governance post-investment, helping founders with follow-on fundraising, board advice, customer introductions, and strategic pivots.
    6. **Exit:** Executing liquidity through M&A negotiations, secondary markets, or IPO listing processes.
- **Team Collaboration:** How analysts surface deals, associates run research, principals lead negotiations, and partners make final calls while platform teams execute value creation.

3. What an analyst does at seed vs. Series A vs. growth funds

- **Seed Stage Analyst:**

    - Focuses heavily on qualitative analysis, team evaluations, founder background checks, network sourcing, and macro thematic trends.
    - Less emphasis on existing financial metrics since companies have minimal historical data.
- **Series A Analyst:**
    - Balances qualitative assessments with quantitative traction verification.
    - Evaluates early unit economics, customer churn/retention metrics, cohort performance, and Product-Market Fit signals.
- **Growth Stage Analyst:**
    - Operates similarly to a Private Equity analyst.
    - Performs rigorous financial analysis: DCF, trading comps, LBO models, revenue growth attribution, cohort analysis, and exit valuation sensitivity tables.

Day 3: VC Fund Economics

Basic (Mandatory)

1) How VCs raise funds: fund raising and structure

- **Fundraising Process:**

- **Thesis and track record.** The GP defines a stage, sector, and edge. The pitch to LPs is the team's track record, the deal flow it can access, and the fund strategy.
- **Materials.** The GP prepares a fundraising deck, a Private Placement Memorandum (PPM), and a draft LPA.
- **Anchor LP.** One LP commits early, typically 10–30% of the target. This signals credibility to everyone else.
- **LP types.** Family offices, HNIs, corporates, funds-of-funds, endowments, and pension funds. Institutions are slow and prefer proven managers. Family offices and HNIs back emerging managers faster.
- **First close.** This happens once enough commitments are in, often 30–50% of target. The fund can then start investing and charging fees.
- **Further closes up to the final close.** This usually takes 12–18 months in total, and first-time managers often take longer.
- **Equalisation.** LPs who join at a later close pay their share of fees and costs back to the first-close date, so everyone ends up on the same footing.

- **Structure:**

- The fund is a closed-ended limited partnership. LPs put in money and the GP manages it under a Limited Partnership Agreement (LPA). The LPA sets fees, carry, hurdle, investment period, and the rules on concentration and reinvestment.
- There are usually two GP-side entities: a management company that earns the management fee, and a GP entity that holds the carry.
- Support roles: a fund administrator for accounting and capital calls, an auditor, and legal counsel.
- A Limited Partner Advisory Committee (LPAC) of the biggest LPs handles conflicts of interest and valuation questions.
- In India, VC funds are registered with SEBI as Category I AIFs (Alternative Investment Funds), in the venture capital fund sub-category.

2) **How VCs make money: management fee, carry, fund lifecycle, J-curve idea?(Sources)**

- **Management Fees:** Typically, 2% per annum of total committed capital during the investment period, tapering down thereafter. Used to cover operational expenses (salaries, legal costs, office space, diligence trips).
- **Carried Interest (Carry):** The performance fee (usually 20%) awarded to GPs on capital gains achieved above returned LP principal.
- **Fund Lifecycle:** Standard 10-year closed-end fund commitment:
    - Years 1–3: Sourcing, initial capital deployment, and follow-on reserves.
    - Years 4–7: Value addition, active board involvement, and initial exits.
    - Years 8–10+: Harvesting assets, liquidity generation, capital redistribution, and fund liquidation.
- **Drawdown and Capital Calls:** LPs don't wire the whole commitment on day one. They **commit** an amount, and the GP **calls** capital in instalments as it needs money for investments and fees. Each call is a written notice, usually with 10 business days to pay.

Example: An LP commits $10M to a $100M fund (a 10% share).

- Year 1 call: the fund calls 20% = $20M, so this LP wires **$2M**.
- Paid-in capital = $2M. Unfunded commitment = $8M.
- Over 3–5 years, around 85–100% of commitments get called.

Key terms:

- **Paid-in capital** is the money actually called and paid.
- **Unfunded commitment** is commitment minus paid-in.
- **Default.** An LP who misses a call faces penalties, such as forfeiting part of their existing stake.
- **Recycling.** The LPA may allow the GP to reinvest early proceeds instead of distributing them.

- The J-Curve Phenomenon: In early years, a fund's net cash flow and valuation are negative due to upfront management fees, setup costs, and early startup failures. As portfolio companies mature and achieve exits in later years, cash flow turns positive, forming a "J" shape curve.

2. **Why VCs need 10x outcomes**

A correction to the premise. VCs don't need 10x from *every* bet. They need a few bets that return 10x, and ideally 30–100x. This is because most bets return little or nothing.

Setup: $100M fund. About $80M goes into 20 companies at $4M each, and the rest goes to fees and costs. A net 2–3x for LPs requires about **$300M of gross proceeds**.

Companies	Outcome	Proceeds
8	Fail (0x)	$0M
5	1x	$20M
2	3x	$24M
5	10x	$200M
Total		**$244M**

$244M of gross proceeds, minus 20% carry on the $144M profit ($28.8M), leaves LPs with $215.2M. That is only about 2.15x net, even with 25% of the portfolio at 10x.

Reality check: Only about 1 in 10–20 companies reaches 10x. So the few that do must be far bigger than 10x. In a portfolio where 9 fail, 6 return 1x, and 2 return 3x, those 17 companies bring in just $48M. The last 3 companies have to return $252M, about $84M each, or 21x.

Dilution makes it harder. A $1M check buys 10% of a company at a $10M post-money valuation. After later rounds the stake is diluted to about 5%.

- To make 10x ($10M), the company must exit at about $200M.
- To make 100x ($100M), it must exit at about $2B.

Fund-returner rule: A VC wants each investment to have a *path* to returning the whole fund. For a $100M fund with a 5% stake at exit, that means a $2B company. This is why VCs pass on good businesses that can't become very large.

3. **Guided fund returns case with simple numbers, plus quiz (Source)**

- **Practical Portfolio Analysis Task:**
  - Learners analyse a hypothetical $100M VC fund with 20 portfolio companies.
  - Calculate overall fund distributions, observe power-law dynamics (e.g., 1 hit producing $150M while 12 produce $0), and compute net LP vs. GP proceeds.
- **Fund Profit Distribution & Metrics Calculation:**
  - Capital Returned: $200M total distributions on a $100M fund.
  - Profit: $100M net gain.
  - GP Carry (20%): $20M profit share.
  - LP Distribution (80% profit + 100% principal): $180M total LP return.
- **Checkpoint Assessment Quiz:** Short test covering LP/GP waterfall allocations, basic term sheet definitions, and fee impact.

Advanced (Optional)

1) **Waterfall mechanics (hurdle, catch-up) and return metrics (TVPI, DPI, RVPI, IRR,MOIC)**

- **Waterfall Mechanics:**
    - Hurdle Rate (Preferred Return): The minimum annual return (typically 8% annualized) that LPs must receive before GPs can collect carried interest.
    - GP Catch-up Clause: A provision allowing the GP to receive 100% of distributions after the hurdle is met until the GP reaches their full carried interest allocation ratio (e.g., 20%).
- **Core VC Performance Metrics:**
    - DPI (Distributed to Paid-In):
      Total Paid-In Capital CalledCumulative Realized Cash Distributions. Measures actual realized cash returned to LPs.
    - RVPI (Residual Value to Paid-In): Total Paid-In Capital Called
      Unrealized Current Portfolio Value. Measures current paper value of active holdings.
    - TVPI (Total Value to Paid-In / MOIC):
      DPI+RVPI=Total Paid-In Capital CalledRealized Distributions+Unrealized Portfolio Value.
    - IRR (Internal Rate of Return): The annualized effective compounded return rate accounting for the time value of money and net cash flows over time.
    - MOIC (Multiple on Invested Capital) = Total value ÷ Capital invested

      Invest $1M and get back $5M: MOIC = 5.0x.

2) **Build a fund model in Excel with a power-law simulation**

- Hands-on quantitative workshop building a dynamic financial model simulating fund deployment schedules, follow-on reserve strategies, equity dilution rounds, and Monte Carlo power-law exit distribution outcomes.

📝 **Module 1 Assignment: Portfolio Performance & Fund Distribution Task**

- **Objective:** Learners simulate real-world analyst responsibilities by analyzing a sample VC fund's performance schedule.
- **Deliverables:**
    1. Compute fund performance benchmarks: TVPI, DPI, RVPI, and Net IRR.
    2. Map out distribution waterfall mechanics showing the step-by-step profit split between LPs and GPs (including preferred returns/hurdle rates).
    3. Conduct a written portfolio analysis identifying which outlier companies drove the power-law returns and evaluating reserve allocation strategy efficiency.